

26STCV03525 26STCV03525

County: los-angeles

Division: Civil Law and Motion

Department: 413

Hearing date: 2026-09-28

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C413%2C09%2F28%2F2026

Source SHA-256: 58e9d0f295ae6c254d5b9b8aa3c7714ff9ba462ef5cc3b16563f299bb4e3cb3a

Case Number: 26STCV03525 Hearing Date: September 28, 2026 Dept: 413

TENTATIVE

RULING

HEARING DATE: September 28, 2026

CASE NUMBER: 26STCV03525

CASE NAME: Markus Molinari v. John Terzian, et al.

MOVING PARTY: Defendants John Terzian, Brian

Toll and The Hwood Group, LLC

OPPOSING PARTY: Plaintiff Markus Molinari n/k/a Marsha

Molinari

PROCEEDING: Motion TO STAY ACTION PENDING APPEAL

RULING

SUMMARY: Defendants' motion to

stay the action pending appeal is denied.

Background

On

February 3, 2026, Markus Molinari n/k/a Marsha Molinari ("Plaintiff") filed a Complaint against John Terzian ("Terzian"); Brian Toll ("Toll"); The Hwood Group, LLC (collectively "Defendants") and Does 1 to 50.

The

Complaint alleges nine causes of action for:

1)

Breach of Partnership Agreement against
Terzian and Toll;

2)

Breach of Fiduciary Duty (Partnership)
against Terzian and Toll;

3)

Breach of Fiduciary Duty (LLC) against
Terzian, Toll and Does 1-50 as LLC Co-Members;

4)

Constructive Fraud against Terzian,
Toll and Does 1-50;

5)

Breach of Contract against The Hwood
Group, LLC;

6)

Conversion against Terzian, Toll, the
Hwood Group, LLC, and Does 1-50;

7)

Violation of Penal Code § 496 Terzian,
Toll, the Hwood Group, LLC, and Does 1-50;

8)

Accounting against Terzian, Toll, the
Hwood Group, LLC and Does 1-50; and

9)

Retaliation Under FEHA against The
Hwood Group.

On

March 2, 2026, Defendants filed a motion to compel arbitration. The Court denied Defendants' motion on June 11, 2026, finding the ninth cause of action for retaliation implicated the Ending Forced Arbitration Act ("EFAA").

On

July 6, 2026, Defendants filed a Notice of Appeal of the Court's June 11, 2026, Order denying their motion to compel arbitration.

Defendants

move to stay the action pending appeal. Plaintiff opposes the Motion.

motion TO STAY

THE ACTION PENDING APPEAL

I. Legal Standard

"An

aggrieved party may appeal from...An order dismissing or denying a petition to compel arbitration. Notwithstanding Section 916, the perfecting of such an appeal shall not automatically stay any proceedings in the trial court during the pendency of the appeal." (Code Civ. Proc., § 1294, subd. (a).)

"Even

when the statutes do not call for an automatic stay on appeal, the trial and appellate courts both have the power to issue discretionary stays." (Daly v. San Bernardino County Bd. of Supervisors (2021) 11 Cal.5th 1030, 1039.) A discretionary stay pending appeal "is appropriate where 'difficult questions of law are involved and the fruits of a reversal would be irrevocably lost unless the status quo is maintained.'" (Ibid.)

II. Discussion

Defendants

move for an order staying this action pending Defendants' appeal on the grounds the governing arbitration agreements expressly invoke the Federal Arbitration Act ("FAA"), which requires a stay pending an appeal as to the issue of arbitrability.

A. The FAA does not require a stay

and does not preempt section 1294(a) of the Code of Civil Procedure

Defendants

argue the arbitration agreements expressly invoke the FAA, therefore the determination of whether a stay should be ordered should be determined based on federal authorities. Defendants argue this stay is mandatory, citing *Coinbase, Inc. v. Bielski* (2023) 599 U.S. 736 to support this argument. (Mot., p.11.)

Coinbase

rests on a federal procedural principle that does not apply to the procedure in state courts related to appeals from an order denying a petition to compel arbitration. Coinbase held that

“a district court must stay its proceedings while the interlocutory appeal on arbitrability is ongoing.” (Id. at 740.)

The stay flows from the interaction of FAA section 16 (a), which confers federal appellate jurisdiction over an appeal from the denial of a motion to compel.

(Ibid.) The Court expressly

disclaimed creating a special, arbitration-preferring procedural rule, and found that its holding “simply subjects arbitrability appeals to the same stay principles that courts apply in other analogous contexts where an interlocutory appeal is authorized.” (Id. at 746.)

Nothing in *Coinbase* purports to bind state courts or to displace state procedural rules governing stays.

While

the FAA’s substantive provisions apply in state and federal court, its procedural provisions apply only in federal court. (*Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 394.) Section 16(a) is a procedural provision that operates in the federal appellate courts.

Defendants cannot import *Coinbase*’s federal-court stay rule into this state proceeding.

Section

1294(a) of the Code of Civil Procedure is not preempted by the FAA. The FAA’s section 2 preempts contrary state law only where the state rule stands as an obstacle to the enforcement of arbitration agreements or singles out arbitration for suspect status. A state procedural rule survives so long as it does not defeat the rights granted by Congress or frustrate section 2’s central policy of enforcing agreements according to their terms. (*Cronus, supra*, 35 Cal.4th at 390.)

Section

1294(a) was amended by Senate Bill 365 in 2023 to provide that an appeal from an order denying a petition to compel arbitration “shall not stay any proceedings in the trial court during the appeal.” Defendants have cited no cases since the amendment holding that the provision is preempted by the FAA or that a stay of proceedings must be granted notwithstanding the statute’s provisions.

Section

1294(a) does not preclude enforcement of any arbitration agreement or burden its formation. It governs the sequencing of proceedings after a trial court has already determined that a dispute is not subject to arbitration. It is a procedural rule of the type the FAA leaves to the states. Therefore, section 1294(a) is not preempted, and no automatic stay applies.

B. Defendants have not shown grounds for a discretionary stay

Defendants argue that, if the Court determines the FAA does not preempt section 1294(a), Defendants are still entitled to a discretionary stay pending appeal. (Mot., p.16.) Defendants argue the appeal presents a novel and substantial question: whether a standalone FEHA retaliation claim, unaccompanied by a separate substantive sexual harassment cause of action, can trigger the EFAA. (Rep., p.6.)

Defendants bear the burden of establishing that a stay is warranted, and the power is reserved for the exceptional situation. (*Landis v. North American Co.* (1936) 299 U.S. 248, 254-256; *People ex rel. S.F. Bay Conserv. and Dev. Comm’n v. Town of Emeryville* (1968) 69 Cal.2d 533, 537.) Defendants have not met their burden here.

As a preliminary matter, the parties dispute which standard applies. Plaintiff invokes a four-factor test set forth in *Nken v. Holder*, where a court considers “(1) whether the stay applicant has made a strong showing that he is likely to succeed on the merits; (2) whether the applicant will be irreparably injured absent a stay; (3) whether issuance of the stay will substantially injure the other parties interested in the proceeding; and (4) where the public interest lies.” (Opp., p.12; see *Nken v. Holder* (2009) 556 U.S. 418, 425-426.) Defendants contend California

has not adopted the four-factor test, and that the correct inquiry is asking whether the appeal presents substantial questions or a fair possibility of success. (Rep., p. 5.)

California courts have not adopted the federal four-factor test. The governing standard, articulated by the California Supreme Court, is whether "difficult questions of law are involved and the fruits of a reversal would be irrevocably lost unless the status quo is maintained" (Daly, supra, 11 Cal.5th at p. 1039.) The Court applies that standard here.

First, the appeal does not present a substantial question likely to result in reversal. EFAA defines a sexual harassment dispute as a dispute relating to conduct that is alleged to constitute sexual harassment under applicable federal, tribal, or state law. (9 U.S.C. § 401.) A claim alleging retaliation for complaining about sexual harassment is a sexual harassment dispute. (Liu v. Miniso Depot CA, Inc. (2024) 105 Cal.App.5th 791, 804 n.5.) Defendants argue this case is distinguishable from Liu because it involved substantive harassment allegations along with retaliation. (Rep., p. 6.) However, Liu's reasoning turns on the breadth of the sexual harassment dispute definition, which expressly encompasses retaliation for reporting harassment. (Liu, supra, 105 Cal.App.5th at 804.)

Second, the fruits of a reversal would not be irrevocably lost absent a stay. Defendants argue that they will lose the benefits of arbitration, including confidentiality, efficiency, and reduced costs, absent a stay. (Mot., p.19.) The ordinary burdens of litigation do not by themselves establish the clear hardship required for a stay. (Lockyer v. Mirant Corp. (2005) 398 F.3d 1098, 1112 ["being required to defend a suit, without more, does not constitute a 'clear case of hardship or inequity'"].) The discovery Plaintiff seeks would also be available in arbitration, in substantial part. Additionally, any confidentiality concerns may be addressed by the protective order entered in this action. The fact that a protective order may not have the same confidentiality as arbitral confidentiality is not the kind of irreparable injury that warrants a stay.

Based on the foregoing, and mindful that a stay
is reserved for the exceptional case, Defendants have not justified a stay.

C. The parties' prior positions under the
CAA

Finally, Plaintiff argues Defendants are
judicially estopped from invoking the FAA because they previously moved to
compel and obtained a discovery stay under the CAA, without mentioning the FAA.
(Opp., p. 9.) Defendants argue in
response that there is no inconsistency, and that the CAA was the only vehicle
for a pre-ruling stay, whereas the present motion addresses a stay pending
appeal. (Rep., p. 9.)

The Court need not resolve the judicial estoppel
question, because the motion fails on the merits regardless of which party's
characterization is correct. The Court observes, however, that Defendants'
repeated reliance on California's arbitration procedures to obtain the relief
they sought is in tension with their present position that federal authorities
govern the procedural question of a stay. That tension reinforces the
conclusion that California procedure, including section 1294, subdivision (a),
governs here.

Conclusion

Defendants'
motion to stay the action pending appeal is denied.

Date: September
28, 2026

William
E. Weinberger

Judge,
Los Angeles Superior Court